



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA

SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Short-term insurers & Lloyd's		File:	10/17/1 & 10/11/1/10/2 & 10/13/6	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	30 January 2004	01 February 2004	112.B.i (ST&LL)	In force	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Credit insurance schemes				

1. Background

As a result of past investigation by this Office of various credit insurance schemes a number of serious malpractices under the repealed Insurance, 1943 came to light. These practices may also exist under the Short-term Insurance Act, 1998 ("Act") and are hereby again brought to your attention.

2. Practices

2.1 These practices are connected with -

- (a) the conduct of illegal insurance business in contravention of the provisions of section 7 of the Act by certain dealers in consumer goods and certain financial institutions which finance credit transactions (hereinafter referred to as the seller/s) with the active collaboration of certain insurers; and
- (b) the handling (failure to pay or short payment) of insurance premiums which are received by the sellers on behalf of insurers in accordance with these schemes, contrary to the provisions of section 45 of the Act and the payment and receipt of commission which exceeds the maxima prescribed in Part 5 of the Regulations under the Act.

2.2 The types of practices which occur include the following:

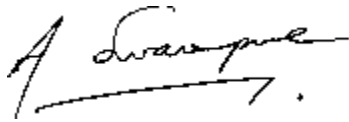
- (a) Schemes whereby a seller issues a certificate (purporting to be an insurance policy) in the name of an insurer in accordance with the Scheme, to a client and such seller receives the premium and retains it for the payment of claims and only a scanty portion of the premium is paid to the insurer as remuneration for the use of the insurer's name. In the case of those schemes investigated not one of the insurers was at risk to pay claims. Such practices are in effect "fronting" by the insurer for an illegal insurance operation conducted by the seller;
- (b) the quantum of the premium is determined by the seller and bears no obvious relationship to the risk. An example of this is a case where identical schemes, are underwritten by an insurer, and operated by various sellers, where the premiums vary from 3% to 17,5%;
- (c) the major portion of the premium is retained for own account by the seller as an administration fee and is not paid over to the insurer, which is contrary to the provisions of the Usury Act, 1968, as well as section 45 and Part 5 of the Regulations under the Act;
- (d) the certificate provides that the buyer has no direct claim against the insurer and only the seller may lodge a claim. This means that should the seller refuse to, or neglect to, lodge a claim, the buyer cannot address the insurer;
- (e) arrangements whereby the insurer pays the full amount of the claim to the seller whilst the buyer, in accordance with the certificate, may not take any action against the insurer or the seller. (Where applicable certificates should make provision for the seller and the buyer to be compensated in relation to their relative interests in the damage suffered);
- (f) arrangements whereby unnecessarily high premiums, collected and paid over to the insurer, are repaid to the seller without the buyer obtaining any benefit thereby. (Refunds of excessive premiums based on a favourable claims experience or for any other reason must be made to the seller and the buyer in relation to the amount of premiums that were paid by each of them); and
- (g) cover for damage to or loss of, the goods involved is provided but the amount insured is only the outstanding portion of the account. For the buyer this bears no relationship to the actual value of the loss or damage to the goods. (In this case only the interest of the seller is insured whilst the buyer pays the premiums).

3. Request

Should you be involved in such practices or schemes or any variations thereof which are in effect in contravention of the provisions stated in paragraph 2.2 above you are requested in accordance with section 4(2) of the Act to furnish this Office, within thirty days from the date on which you become aware of it, with information in this regard and to advise what steps are being taken to rectify these matters.

4. Information sharing

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors.

A handwritten signature in black ink, appearing to read 'A. Swanepoel', with a horizontal line extending from the end of the signature.

pp REGISTRAR OF SHORT-TERM INSURANCE